Goyal & DeCoster
A Real Estate Company



820 Creative Drive

Stabilised industrial property with phased redevelopment

820 CREATIVE DRIVE · LAKELAND, FLORIDA

A twelve-acre industrial property offered off-market at $3.5 million. The existing income partially offsets holding costs while three development phases — renovation, a second 30,000 SF building, and a 22-yard outdoor storage facility — are executed on land that is already improved and already zoned.

$3,500,000	12 acres	24,000 SF
PURCHASE PRICE	TOTAL ACREAGE	EXISTING BUILDING

Development Strategy & Investment Thesis

September 2026

EXECUTIVE SUMMARY

A development play with an income stream

The opportunity combines a stabilised cash-flowing asset with development upside across multiple phases. The value lies not in what the property produces today but in what it can become.

The property is being offered off-market at $3.5 million. At prevailing interest rates the current income stream does not cover debt service; this pricing reflects a pure development play.

Purchase price	$3,500,000
Total acreage	12 acres
Key parcel	9.9 acres
Wetland parcel	2.1 acres
Developable upland	4.4 acres
Wetlands	7.6 acres
Existing building	24,000 SF
Configuration	14 bays @ 1,500 SF + 3,000 SF office
Year built	1980, block masonry
Zoning / FLU	BPC-2 (Business Park Center)



EXISTING IMPROVEMENTS AND PARKING



UPLAND AND WETLAND AREAS

PHASE 0 · ACQUISITION

Current income analysis

INCOME AND EXPENSE	MONTHLY	ANNUAL
14 bay units @ $1,100/month	$15,400	$184,800
1 office unit @ $3,200/month	$3,200	$38,400
Gross potential income	$18,600	$223,200
Less: vacancy (5%)	($930)	($11,160)
Effective gross income	$17,670	$212,040
Taxes	$1,567	$18,809
Insurance	$3,167	$38,000
General liability	$81	$970
Water	$400	$4,800
CAM	$500	$6,000
Total operating expenses	($5,714)	($68,579)
Net operating income	**$12,273**	**$143,461**

Figures are reproduced as the source prints them. The source states three different current NOI figures: $190,836 (described as a 5.5% cap at the asking price) in the summary table, approximately $147,000 (a 4.2% going-in cap) in the narrative, and $143,461 in the schedule above. They are not reconciled here and should be confirmed from the rent roll and operating statements.



EXISTING 24,000 SF BUILDING, BUILT 1980

PHASE 0 · ACQUISITION

Debt service reality

Seller financing is offered: $1,800,000 down with the remaining $1,700,000 at 7% interest-only for five years and a balloon at maturity.

Annual debt service of $119,000 against the current NOI of $143,461 produces cash flow before tax of approximately $24,461 — a 1.4% cash-on-cash return on the down payment. The returns on the existing building alone are thin; the property should be underwritten as a development play with a cash-flowing asset to carry the hold.

Offering price	$3,500,000
Down payment	$1,800,000
Seller financing	$1,700,000
Rate	7%, interest-only
Term	5 years, balloon at maturity
Annual debt service	$119,000
Current NOI	$143,461
Cash flow before tax	$24,461
Cash-on-cash	1.4%



EXISTING IMPROVED PAD

PHASE 0 · RENOVATION

Scope of work

ITEM	ESTIMATED COST
Complete exterior repaint	$42,000
Metal accent siding / facade improvements	$35,000
Parking lot reseal and striping	$10,000
Landscaping and signage updates	$8,000
Contingency (10%)	$9,500
Total renovation budget	**$104,500**

The building is block masonry in good structural condition but presents as dated and does not command market rents. The source describes the renovation as justifying rent increases from $1,200 to $1,625 per bay per month, while the current income schedule shows bays at $1,100 per month; both figures are reproduced as printed.



EXISTING FACADE, PRE-RENOVATION

PHASE 0 · STABILISATION

Post-renovation income

INCOME AND EXPENSE	MONTHLY	ANNUAL
14 bay units @ $1,625/month ($13/SF)	$22,750	$273,000
1 office unit @ $3,750/month ($15/SF)	$3,750	$45,000
Gross potential income	$26,500	$318,000
Less: vacancy (5%)	($1,325)	($15,900)
Effective gross income	$25,175	$302,100
Taxes	$2,583	$31,000
Insurance	$3,167	$38,000
General liability	$81	$970
Water	$400	$4,800
CAM	$500	$6,000
Total operating expenses	($7,234)	($86,812)
Stabilised NOI	**$17,940**	**$215,288**

Stabilised NOI of $215,288 against annual debt service of $119,000 produces positive cash flow of approximately $96,288. The $13/SF target is supported by Lakeland asking rents of $15–18/SF, a national small-bay range of $12–15/SF NNN, small-bay vacancy near 4% against 7%+ for large format, and I-4 corridor small-bay rent growth of up to 100% since 2020.



SMALL BAY PRODUCT — ILLUSTRATIVE REFERENCE

PHASE 0 · CAPITAL

Total investment and equity

ITEM	AMOUNT
Purchase price	$3,500,000
Closing costs (est. 2%)	$70,000
Renovation budget	$104,500
Total Phase 0 investment	$3,674,500
Down payment	$1,800,000
Closing costs	$70,000
Renovation capital	$104,500
Total equity required	**$1,974,500**

The source heads the equity schedule “Equity Requirement (25% Down)” while stating a down payment of $1,800,000 on a $3,500,000 price, and elsewhere records Phase 0 leverage at 49% LTV. Both are reproduced as printed.



PARCEL PLAN — UPLAND AND WETLAND

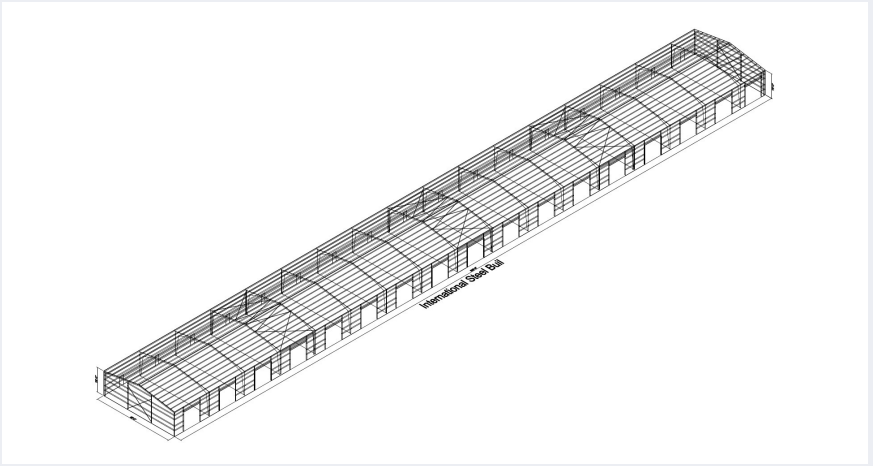
PHASE 1 · BUILDING 2

The case for small bay industrial

A second 30,000 SF small bay building on the existing asphalt pad behind Building 1 — new product at below-market construction cost, at premium rents.

While large-format distribution has seen rising vacancy and softening rents, small bay product under 50,000 SF continues to outperform on virtually every metric.

- Properties under 150,000 SF show half the vacancy of larger format — about 4% against 7%+ for big-box
- Small bay commands a consistent 22% rent premium over bulk industrial, still double digits through 2024–2025
- Small bay rents up more than 40% since 2020, against roughly 30% for the broader industrial market
- New small bay construction is just 0.5% of existing stock — a structural undersupply
- Properties under 150,000 SF were 62% of all industrial sales in Q2 2025
- Tenants are essential service providers — trades, home services, light manufacturing, auto, last-mile



500FT × 60FT PRE-ENGINEERED BUILDING — ILLUSTRATIVE



COMPARABLE PEMB STRUCTURE — ILLUSTRATIVE REFERENCE

PHASE 1 · MARKET

Why Lakeland, why this site

Polk County is the fastest-growing county in Florida and ranks among the ten fastest-growing counties in the United States.

Creative Drive is a quiet side street of industrial buildings just off Florida Avenue (US-98), which carries approximately 37,500 vehicles per day at this location. The surrounding area is retail, restaurants and residential neighbourhoods rather than competing industrial parks — industrial zoning in an infill position of this kind is exceptionally scarce.

New residents, 2022	Nearly 30,000
New residents, 2023	Over 26,000
Population growth since 2010	46%
Estimated population, 2025	881,584
Projected growth by 2030	20%+ (about 175,000)
Lakeland average home price	$345,000
Tampa average home price	$436,000
Florida Avenue traffic	About 37,500 AADT



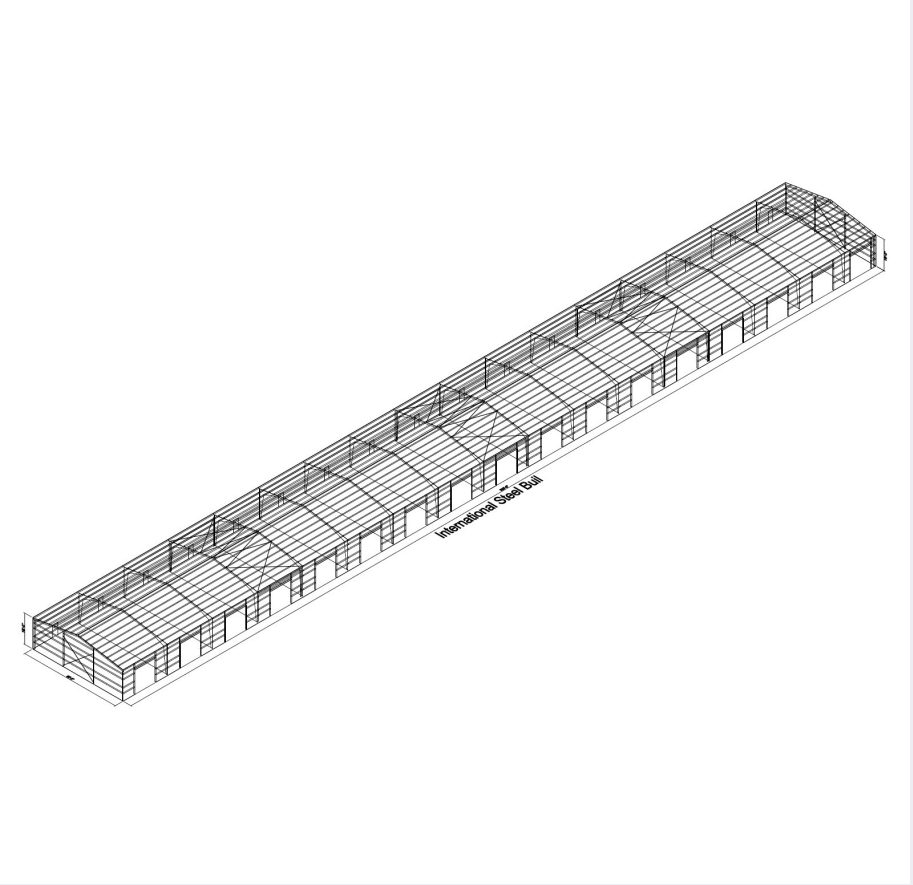
SITE IN ITS COMMERCIAL CORRIDOR

PHASE 1 · PROGRAMME

Building 2 design parameters

PARAMETER	SPECIFICATION
Building size	30,000 SF
Dimensions	60ft deep × 500ft long
Number of bays	16
Bay size	1,875 SF each (about 31ft × 60ft)
Access	Front-loaded only (wetland buffer at rear)
Clear height	16–18ft
Doors	Grade-level overhead door plus man door per bay
Construction	Pre-engineered metal building on full concrete slab
Delivery	Shell with basic electrical and plumbing stub-outs

Demising walls allow adjacent bays to be combined for tenants requiring 3,750 SF, 5,625 SF or larger. Permitting is expected to be straightforward: BPC-2 zoning is in place, the use is consistent with the existing building, and no rezoning, variance or public hearing is required. Because Building 2 sits on the same impervious footprint, the project is expected to qualify for a No Permit Required verification from SWFWMD rather than a 90-day ERP process.



BUILDING 2 MASSING — ILLUSTRATIVE

PHASE 1 · ECONOMICS

Development budget

COST CATEGORY	AMOUNT
PEMB material and install (30,000 SF @ $25/SF)	$750,000
Partition walls	$90,000
MEP (panels, stub-outs, lighting)	$450,000
Site work	$400,000
Soft costs (8%)	$137,120
Impact fees ($800 / 1,000 SF)	$24,000
Construction management fee (3%)	$58,310
Developer fee (4%)	$77,747
Construction interest reserve	$50,000
Contingency (5%)	$92,556
Total development cost · $71 per SF	**$2,129,733**

A tenant improvement reserve of $300,000 ($10/SF) is held separately. The all-in cost of $71/SF sits below market averages of $100+/SF for small bay construction, reflecting existing parking, circulation, ingress and egress, utilities and drainage; the source notes it still requires additional bidding to confirm.



COMPARABLE COMPLETED BUILDING — ILLUSTRATIVE

PHASE 1 · RETURNS

Stabilised income and return metrics

16 bays at 1,875 SF and $14/SF NNN produce gross potential income of $420,000 and a stabilised NOI of $317,344.

At $14/SF, Building 2 is priced at a modest discount to new construction averages while commanding a premium over the renovated Building 1 at $13/SF.

Total development cost	$2,129,733
Stabilised NOI	$317,344
Yield on cost	14.9%
Stabilised value (6.5% cap)	$4,882,219
Value creation	$2,752,486
Equity required (30%)	$638,920
Construction loan (70% LTC)	$1,490,813
Annual debt service (7.00%, 25yr)	$122,219
Phase 1 cash flow	$195,125
Cash-on-cash return	30.5%
Equity multiple	5.31x



FRONT-LOADED BAY ELEVATION — ILLUSTRATIVE

PHASE 2 · OUTDOOR STORAGE

Industrial outdoor storage on the remaining upland

Two acres of undeveloped upland become a 22-yard contractor storage facility — low capital intensity, and faster to stabilise than the building.

Outdoor storage is permitted in BPC-2 only as an accessory use, so a standalone facility cannot be developed on vacant land in this zoning. The existing building establishes the principal use that enables it — a product competitors cannot legally develop on comparable sites nearby.

- IOS rents up nearly 30% on average since the end of 2019, with vacancy below 3% in many markets
- Municipalities have constrained by-right zoning, tightening supply
- Development takes months rather than years; grading, gravel and fencing cost a fraction of steel frame
- Minimal capital expenditure — no roof, gravel surfaces
- Stabilised IOS typically returns 8–12% annually, with development yields often above 40%
- One direct competitor in Polk County: Longyard in Winter Haven, fifteen miles away



SUBDIVIDED CONTRACTOR YARDS — ILLUSTRATIVE REFERENCE



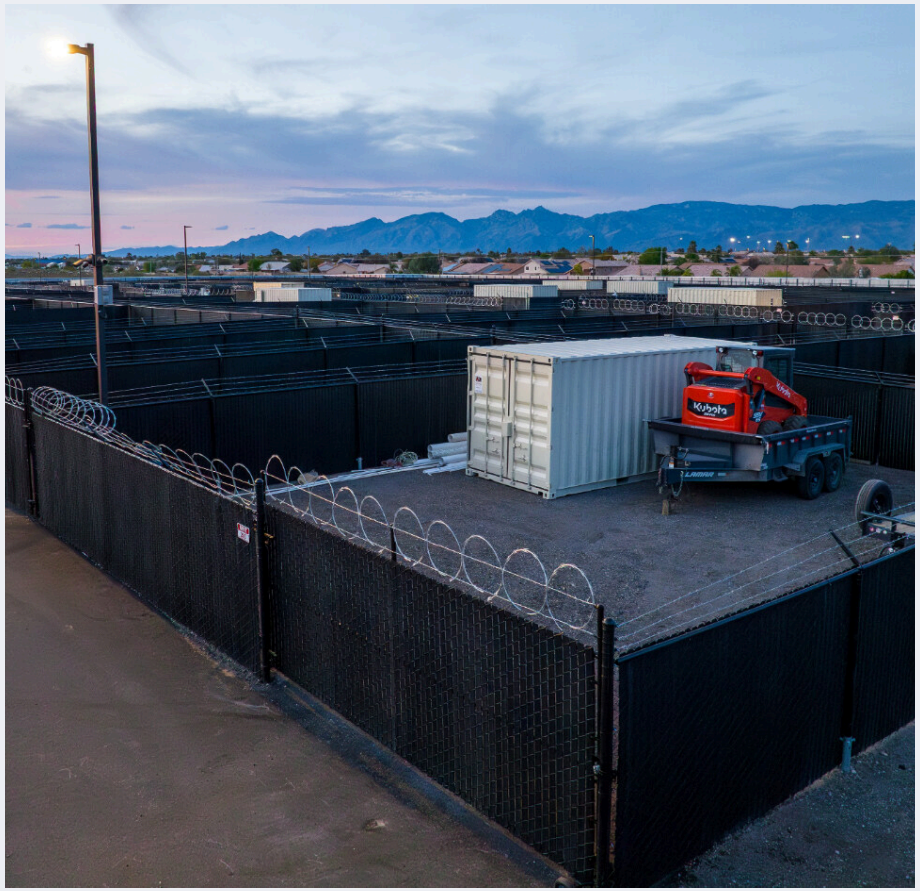
INDIVIDUAL GATED ACCESS — ILLUSTRATIVE REFERENCE

PHASE 2 · PROGRAMME

Site configuration and yard mix

YARD SIZE	QUANTITY	SF EACH	RENT / MONTH	$ / SF / MONTH
Small	6	1,500	$300	$0.20
Medium	8	3,000	$500	$0.17
Large	6	5,000	$800	$0.16
XL	2	7,500	$1,200	$0.16
Total	**22**	**78,000**	**$13,000**	**$0.17 avg**

Two acres (87,120 SF) with about 78,000 SF leasable at 90% efficiency. Six-inch crusher run gravel base; 8ft chain link perimeter with privacy slats and barbed wire, which also satisfies BPC-2 screening for accessory outdoor storage; 6ft interior dividers; individual 12ft swing gates with keypad entry; 24/7 video surveillance and LED lighting. Pricing is benchmarked against Lynx Contractor Storage at $0.21–$0.38/SF/month in Tucson and adjusted for the Lakeland market.



BENCHMARK YARD CONFIGURATION — ILLUSTRATIVE

PHASE 2 · ECONOMICS

IOS budget, income and returns

ITEM	AMOUNT
Site preparation (clearing, grading)	$57,228
Gravel surface (6in crusher run)	$78,305
Perimeter fencing (8ft chain link, barbed wire)	$37,540
Interior fencing and gates (22 yards)	$59,750
Security and access control	$8,000
Lighting (LED poles, electrical)	$15,800
Contingency (10%)	$25,662
Construction management fee (3%)	$8,853
Developer fee (5%)	$14,756
Soft costs (5%)	$12,831
Total IOS development · $159,363 per acre	**$318,726**

Gross potential income $156,000; effective gross income $140,400 after 10% vacancy; operating expenses $17,608; net operating income $122,792. Cash-on-cash return 38.5%, stabilised value $1,534,905 at an 8% cap, value creation $1,216,179, payback 2.6 years, equity multiple 4.82x. Phase 2 requires no financing and can be funded from equity. Permitting is expected under the SWFWMD General Permit pathway at roughly 30 days, the two-acre project being well under the ten-acre threshold; timeline from permit to lease-ready is three to four months.



GATED YARD ENTRANCE — ILLUSTRATIVE

ALL PHASES

Combined capital and income

PHASE	TOTAL COST	EQUITY REQUIRED	LTV
Phase 0 — acquisition and renovation	$3,674,500	$1,974,500	49%
Phase 1 — Building 2 (30,000 SF)	$2,129,733	$638,920	70%
Phase 2 — IOS (2 acres, 22 yards)	$318,726	$318,726	0%
Total	**$6,122,959**	**$2,932,146**	**48%**

A tenant improvement reserve of $300,000 is held separately and is additional to the totals above. Combined stabilised NOI is $655,425: Building 1 $215,288 (33%), Building 2 $317,344 (49%) and the IOS facility $122,792 (18%). No single building represents more than half of total NOI.



THE ASSEMBLED CAMPUS

ALL PHASES

Combined return metrics

A $3.5 million acquisition becomes a $9.7 million stabilised asset through three complementary phases.

The strategy leverages every advantage the site offers: existing infrastructure, favourable zoning, a growing market and diverse income streams. The source prints total development cost across all phases as $6,052,959 in this schedule and $6,122,959 in the capital table; both are reproduced as published and should be confirmed.

Total development cost	$6,052,959
Total equity invested	$2,932,146
Total stabilised NOI	$655,425
Blended yield on cost	10.8%
Total stabilised value	$9,729,247
Total value creation	$3,676,288
Total annual debt service	($241,219)
Combined annual cash flow	$414,206
Cash-on-cash return on equity	14.1%
Equity multiple at stabilisation	2.25x



SITE PLAN — UPLAND, IMPROVEMENTS AND WETLAND

PHASE 3 · OPTIONALITY

The wetland is not underwritten

7.6 acres of wetlands convey with the property at no additional cost. No value from them is assumed anywhere in this thesis.

The wetlands comprise 5.5 acres on the primary 9.9-acre parcel plus a separate 2.1-acre parcel that is entirely wetland. Two factors make them worth investigating: a railroad corridor runs through or adjacent to the area, and rail construction historically altered drainage in ways that can create or expand wetland conditions; and the property appears to have been affected by a county drainage system that has not been properly maintained.

If either can be documented, the regulatory burden for development or mitigation may be reduced. The path forward is a formal wetland delineation, historical analysis of aerial photography and drainage maintenance records, a pre-application meeting with SWFWMD, and a mitigation cost analysis. Phases 0, 1 and 2 stand on their own merits.



WETLAND EXTENT SHOWN IN GREEN

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